

HOW TO DEAL WITH PROBLEM FAMILY MEMBERS

It is the job of the Family Council to protect the family and the family wealth from threats. It should avoid judging individual family members on moral issues. For instance, the Family Council may decide that a family member who is a known drug addict may not be eligible to receive any funds from the family bank. It should try to keep its position as businesslike as possible. It needs to avoid “getting personal.” Instead, it should elaborate and enforce policies believed, by consensus, to be fair.

Families with a history of substance abuse may want to consider a clause in their trust that disqualifies family members from the benefits of the trust if there is evidence of drug or alcohol abuse.

CREATING A “FAMILY REPUBLIC”

During the life of the wealth creator, he is more often than not “the decider”: a kind of compassionate oligarch. All family members of a certain age and in sound mind get a vote on the Family Council. But the founder typically retains the right of veto.

When the next generation takes charge, it typically functions as a representative democracy. Each council member gets an equal vote. But this is a majority of, usually, brothers and sisters—still very close to one another and not far from the source of the family’s wealth and its culture. We urge you to operate on the basis of consensus, and universal consent, rather than majority rule. But it’s up to you.

Beyond the third generation, there is a big change. People know each other less well. The family culture tends to be more diffuse and indistinct. At this stage, most families choose a representative democracy—a sort of “family republic.” The Family Council becomes more representative of